Louisa County Water Authority
Board of Directors
April 12, 2023

MEMBERS PRESENT: Mr. Judson Foster, Chairman; Mr. Douglas Smith, Vice-Chairman; Mr. Bob Hardy; Mr. Tom Filer; Mr. David Kies; Mr. Byron Wilson (unable to vote, not sworn in)

MEMBERS ABSENT: Mr. Robert Morgan

OTHERS PRESENT: Ms. Pam Baughman, General Manager; Mr. Kyle Eldridge

A. Call to Order

Chairman Foster called the meeting to order at 6:00 pm.

1. ADOPTION OF THE AGENDA

Chairman Foster asked if there were any changes or additions to the agenda. Ms. Baughman asked to add two Short Notice Items titled 1) Northeast Creek Water Treatment Plant – 20HP AC Sub Pump / Motor and 2) Draft ordinance for unauthorized use of water from hydrants. Mr. Kies made a motion to adopt the agenda as amended. Mr. Hardy seconded the motion and carried 5-0 among the members present.

B. Presentations

2. INTRODUCTION – BYRON WILSON APPOINTED TO THE LOUISA COUNTY WATER AUTHORITY BOARD OF DIRECTORS

The Board welcomed Mr. Byron Wilson to the Board of Directors.

C. Citizen Information

D. Consent Agenda

3. APPROVAL OF THE MINUTES:

A. MARCH 8, 2023 – REGULAR BUSINESS MEETING

4. TREASURER'S REPORT:

A. O & M REPORT / CAPITAL REVENUE & EXPENDITURE REPORT – MARCH 2023
B. APPROVAL OF DISBURSEMENTS – MARCH 2023
C. CONSTRUCTION FUND – MARCH 2023

The Board reviewed the Consent Agenda, including the Treasurer's Report. Upon completion of the review, Mr. Filer made a motion to approve the Consent Agenda and Treasurer's Report as presented. The motion was seconded by Mr. Kies and carried 5-0 among the members present.

E. Old Business

5. UPDATE – JAMES RIVER WATER PROJECT

Updates on the three major permits:

1) Army Corps of Engineers – all materials have been submitted, it continues to work through the process, information from the engineering firm has been requested and provided.
2) Department of Environmental Quality – information from the engineering firm has been requested and provided.
3) Department of Historic Resources – all information has been provided to the department and to the Monacan Nation.

Timelines that can be controlled are being controlled. No one has control over agency actions or reviews.

Additional updates:

1) The Rose property plat will be completed April 21, 2023. The property acquisition for the pump station site and easements is being completed by the engineering firm.
2) The engineering firm met with the Virginia Department of Health – Office of Drinking Water to discuss plans and specifications submission for approval.
3) Dominion Electric has been contacted for electrical service to the pump station site. They will need to hear from an employee or representative of the James River Water Authority. There is currently a 24-month lead time for transformers.
4) The contractor is working on a schedule of values for James River Water Authority to finalize a cash flow plan for the next 6 – 10 months. Out of the original debt service of approximately $10 million, $4.1 million in proceeds remain. There will be no way to recoup any of the cost outlays on the original site. Costs incurred to date include cultural resources studies, 15% design of the remaining project, change order #5 for final design, permitting costs and consultants.
5) Big ticket items for the 2023 calendar year – finalized project costs, end of original debt service proceeds, reissuance of new debt service (how to pay for the balance of the project).
6) Pump station land will be paid for by the end of the 2023 calendar year.
7) Engineer and contractor committed to locking in construction related costs. Should be confirmed in the next 2 - 4 months. Trying to save future escalation costs on pumps, electrical components, and generators.
8) At the May 2023 meeting, a more defined cash flow picture should emerge.
9) The final components for this project include the intake structure / screens, raw water piping to the pump station (gravity), the pump station and the raw water line from the pump station to the line already installed just north of Columbia.

6. NORTHEAST CREEK WATER TREATMENT PLANT – SLUDGE VAC-SYSTEM UPDATE

The engineer is finalizing the bid documents for approval and has finalized the response to the Virginia Department of Health – Office of Drinking Water.

7. ZION CROSSROADS WELL SYSTEM UPDATES

A. SPRING CREEK - #1 & #2- UPDATE

The past month has been busy with acquiring permits from the County of Louisa for the generator and electrical work. Also acquired the E&S Permit (land disturbance) and paying the E&S Bond in the amount of $12,463.75.

The Board has approved $270,000 for the project. To date, $250,105.86 has been spent on Spring Creek #1 & #2. Additional funding will need to be approved to finalize the project.

Upon completion of the discussion, Mr. Hardy made a motion to authorize an additional appropriation for the Spring Creek #1 & #2 project in the amount of $250,000. The motion was seconded by Mr. Filer and carried 5-0 among the members present.

B. POORE WELLS – GROUNDWATER SYSTEM SANITARY SURVEY REPORT

On March 6, 2023, the Virginia Department of Health – Office of Drinking Water conducted a Groundwater System Sanitary Survey Report on Poore Wells # 1 & 2 after the installation of the filtering system. The filtering system ran for less than 24 hours before the filter blew apart.

The manufacturer was contacted by staff and the blown filter was discussed. There was some discussion that the filtering system may have been installed incorrectly (confirmed correct installation with the engineer) or that another type of filter may be needed.

8. REGIONAL OPTIMIZATION AND PROCESS OPERATIONS STUDY

Information continues to be requested by the engineer and provided by staff.

9. ZION CROSSROADS WWTP DIESEL TANK ADDITION FOR GENERATOR

The Board was informed that Advanced Fueling Systems reached out to confirm that all the materials needed to complete the diesel tank addition project have been ordered and the work will be scheduled as soon as all the materials have been received.

10. NEW TRUCK PURCHASE; SNOWPLOW AND 100-GALLON DIESEL TRANSFER TANK

Amy Dunivan has reached out to the dealership to determine if there were any updates on the truck order. To date no further information has been received.

11. OPEN POSITIONS

A. MAINTENANCE TECH

Several interviews have been conducted. One candidate was offered and accepted a Maintenance Tech position. We are currently looking for one more Maintenance Tech.

12. UPDATE – LAKE ANNA ENVIRONMENTAL WWTP

A. LAKE ANNA WWTP – PERMIT VIOLATION FEBRUARY 2023 LETTER OF EXPLANATION

Imboden Environmental Services, Inc. submitted a letter to the Department of Environmental Quality explaining two exceedances, one for ammonia concentration and the other for total suspended solids.

B. LAKE ANNA WWTP – WATER AND SEWER SYSTEM LAYOUT

The homeowner's association provided a layout of the water distribution system and the sewage collection system.

The public comment period ends at midnight on Monday, April 17, 2023. To date, no comments have been received.

13. UPDATE – CLEARWELL ROOF / BASEMENT FLOOR DRAINAGE

Two quotes have been received for the Clearwell roof / Basement floor drainage project. One from Distinguished Designs, LLC in the amount of $84,092.00 and one from Sound Structures, Inc. in the amount of $84,500.00. Based on the comments from Dewberry Engineering, both contractors were asked to rebid the project. Sound Structures, Inc. has not provided and updated bid to date. Distinguished Designs, LLC increased their price by $4,000, for a total quote of $88,092.00.

The project amount was approved at a cost of $150,000.00.

14. UPDATE – NANOFILTRATION GRATING EVALUATION / UPGRADE TO ACCESS / PALLET JACK

Barton and Boyd have completed the re-sloping and asphalted the loading dock area at a cost of $44,695. A proposal in the amount of $28,023 for Greg Madison Welding, Inc. to furnish materials and labor to shop fabricate structural steel beams and to install as per approved specifications provided by Dewberry Engineering has been received. The bid for the structural beams will cause the cost of the project to exceed the approved amount of $60,000 by $12,718 without the purchase of a pallet jack.

Mr. Filer made a motion to decrease the Clearwell Roof / Basement Floor Drainage approved cost to $130,000 and increase the approved cost of the Nanofiltration Grating Evaluation / Upgrade to access / Pallet Jack to $80,000. The motion was seconded by Mr. Kies and carried 5-0 among the members present.

15. DRAFT FY2024 BUDGET

A. PROPOSED SUMMARY STATEMENT OF INCOME
B. PROPOSED DETAIL STATEMENT OF INCOME
C. PROPOSED SUMMARY STATEMENT OF EXPENSES
D. PROPOSED DETAIL STATEMENT OF EXPENSES
E. DRAFT – PUBLIC HEARING NOTICE FOR A 15% RATE INCREASE

The Board reviewed the proposed Statement of Income and Expenses for FY2024 and the draft Public Hearing Notice for a 15% rate increase.

Upon completion of the review, Mr. Smith made a motion to advertise for a Public Hearing on May 10, 2023, at 6:00 pm to be held at the Louisa County Administration Building, Public Meeting Room. The motion was seconded by Mr. Kies and carried 5-0 among the members present.

16. ATLASELEKTRO – REBUILD OR REPLACE SUBMERSIBLE MIXER

At the March 8, 2023, LCWA Board of Directors Meeting the Board authorized the purchase of a new mixer at a cost not to exceed $20,000. Staff located a Flygt mixer for $13,504 + freight.

17. DRAFT – WATER SUPPLY EMERGENCY ORDINANCE

Mr. Kyle Eldridge, Assistant County Attorney provided an updated draft of the Water Supply Emergency Ordinance for the Board's consideration.

Mr. Smith provided some additional edits to the Water Supply Emergency Ordinance. Upon the completion of the update, Mr. Eldridge stated that he would make the corrections and propose the ordinance to the Louisa County Board of Supervisors for their consideration.

The Board directed the General Manager to provide a recommendation for emergency rates at the May 10, 2023, Board of Directors meeting.

F. New Business

18. ATLASELEKTRO REMOVAL OF A SUBMERSIBLE PUMP

One of three 20HP Submersible Pump motors failed for the Nanofiltration system. The General Manager authorized staff to have the pump / motor removed and sent to the shop for determination of the failure. The cost to have a crane onsite to pull the pump / motor was $5,000, authorized by the General Manager.

19. DRAFT – RESOLUTION RECOGNIZING PHIL BAILEY'S YEARS OF SERVICE

The Board reviewed a draft Resolution recognizing Phil Bailey for his 33 years, two months, and sixteen days of service to Louisa County Water Authority. Two edits were provided.

Upon completion of the review, Mr. Smith made a motion to approve the resolution of recognition for Phil Bailey. The motion was seconded by Mr. Kies and carried 5-0 among the members present.

20. OFFICE SPACE EXPANSION OPPORTUNITY

The General Manager informed the Board that Mr. Howard Loudin contacted her regarding the opportunity to purchase the office space next to the Authority's current office. The asking price is $225,000. The current tenant will not be renewing their lease after July 2023. Office space in Louisa County is limited and costly.

The Board directed the General Manager to provide lease and purchase options, along with costs to convert the space into usable office space at the May 10, 2023, Board of Directors meeting.

21. LEAD SERVICE LINE REPLACEMENT INVENTORY

Ms. Baughman informed the Board that the draft Lead Service Line Replacement Inventory was sent to the Virginia Department of Health – Office of Drinking Water for approval. Although VDH did not provide approval, their response stated, "Some of the items discussed in the replacement plan look like your plan to identify service line material should meet the records review portion."

Two sections will be added to the Lead Service Line Replacement Plan, one a FAQ section and a lead service line inventory methods section.
The Health Department is expecting, "the initial 2024 submission of the inventory for many systems to contain higher percentages of unknowns due to either time constraints, limited ability to do visual inspections to confirm unknowns, or limited records".

Additionally, "Water systems where the entire distribution system (including customer-owned portions of the service line) was constructed after a state or Federal lead ban may designate the applicable service lines as "non-lead".

If you can determine that those subdivisions, including customer and water system side of the lines, were built after the lead bans in the chronology you have provided in the draft replacement plan (records that indicate construction date) then you wouldn't necessarily need an indication of the pipe material to be on that documentation. That would give you enough documentation to classify it as non-lead.

G. Reports

22. PROGRAM MANAGER'S REPORT

H. General Manager's Report

● **March levels**: At the end of March 2023, the static well levels are down approximately 1.21 feet from the end of February 2023 levels. From March 2022 to March 2023, the well levels are down approximately 2.69 feet.

The smaller table shows static well levels located nearer to the production wells. These levels are down approximately 1.15 feet from the end of February 2023 levels. From March 2022 to March 2023, the well levels are down approximately 2.295 feet.

As of April 2, 2023, for the Northern Piedmont Region, the Department of Environmental Quality Drought Monitor indicates a drought watch for groundwater and stream flow. Normal conditions for precipitation and reservoir levels.

● Michael Whitman has accepted our offer for the wastewater operator position and will begin on April 18, 2023. Michael is a Class II Operator and will be going for his Class I soon.

● Charles "Charlie" Wheeler has accepted or offer for the maintenance tech position and will begin on April 17, 2023.

● The current past-due listing is down to $7,365.10 from the past-due listing provided in the General Manager's Report, which reported the past-due balance of $8,827.73.

I. Committees

J. Short Notice Items

NORTHEAST CREEK WATER TREATMENT PLANT – 20HP AC SUB PUMP / MOTOR

There are three 20HP AC Submersible Pumps / Motors in the Nanofiltration process. All three were installed when the Nanofiltration System was put into service in August of 2017. The three pumps work in series; with one pump out of service, if we lose one more pump / motor, we will be bypassing the Nanofiltration System with disinfection byproducts testing coming up mid-May. The General Manager authorized the work due to the sensitive timeframe. The Board will need to officially authorize this expenditure.

Upon completion of the discussion, Mr. Filer made a motion to authorize the $6,835 expenditure to repair the 20HP AC Submersible motor. The motion was seconded by Mr. Kies and carried 5-0 among the members present.

DRAFT ORDINANCE FOR UNAUTHORIZED USE OF WATER FROM HYDRANTS

The General Manager informed the Board that a Spring Creek resident caught an unauthorized company connected to a fire hydrant at the back gate of Spring Creek. Not only is this stealing, although the lost revenue was only $16.00, haulers without a proper air gap or backflow prevention could contaminate the entire distribution system. A contaminated system could cause illness, death or damage to the distribution system or customer's homes.

The General Manager asked if the Board would consider proceeding with an ordinance that would impose a penalty on anyone connected to a fire hydrant without prior authorization. The Board agreed and asked for a draft ordinance to be presented at the May 10, 2023, Board of Directors meeting.

K. Closed Session

Next meeting date - The next business meeting is scheduled for May 10, 2023, to include a Public Hearing on a rate increase.

L. Adjournment

THERE BEING NO FURTHER BUSINESS, Mr. Smith made a motion to adjourn at 8:00 pm. The motion was seconded by Mr. Filer and carried 5-0 among the members present.

BY ORDER OF:

Judson Foster
Chairman
LOUISA COUNTY WATER AUTHORITY